Leasing & Hire Purchase

Module -III

Leasing is a contractual arrangement that allows one party (the lessee) to use an asset owned by another party (the lessor) for a specified period in exchange for regular payments, known as lease rentals. It serves as an alternative financing method for acquiring capital equipment, offering an alternative to using owned funds, bank credit, or debt securities.

Leasing involves the right to use and operate an asset without necessarily owning it. It is a financing mechanism where the lessee gains possession and usage rights, while legal ownership typically remains with the lessor.

A lease agreement primarily involves two main parties, with other entities sometimes participating depending on the specific type of lease. It is characterized by several key features that distinguish it as a method of asset acquisition and financing.

Parties in a Lease

The fundamental parties in a lease arrangement are:

- **Lessee:** This is the party that **acquires the right to use and operate an asset** for a specified period. The lessee makes periodic payments, known as lease rentals, to the lessor. In a financial lease, the lessee has the right to terminate the contract if the asset is not delivered as agreed and can claim damage compensation. The lessee also often bears the responsibility for maintenance, taxes, insurance, and the risk of obsolescence, especially in a financial lease.

- **Lessor:** This is the party that **owns the asset** and grants the right to use it to the lessee. The lessor receives lease rentals from the lessee. In an operating lease, the lessor retains ownership risks like obsolescence, repairs, and resale value, and is responsible for maintenance, insurance, and other expenses. In leverage leasing, the lessor, as the owner, is entitled to a depreciation allowance.

Other parties can be involved in specific lease types:

- **Seller/Buyer (in Sale and Leaseback):** In a sale and leaseback arrangement, an original owner sells an asset for cash (becoming the seller) and then leases it back from the buyer (who becomes the new owner and lessor).

- **Third-Party Lender (in Leverage Leasing):** While not explicitly detailed as a distinct "party," leverage leasing implies external financing from a third-party lender in addition to the lessor's equity, as the lessor, as owner, is entitled to a depreciation allowance.

Features of a Lease

A lease is essentially a contractual arrangement for the use of an asset. The key features include:

1. **Right to Use vs. Ownership:** The most fundamental feature is that the lessee gains the right to use and operate an asset, but legal ownership typically remains with the lessor. In a financial lease, the lessee effectively bears most of the risks and rewards of ownership despite the lessor retaining legal title.

2. **Alternative Financing Method:** Leasing serves as an alternative to using owned funds, bank credit, or debt securities for financing capital equipment. It allows businesses to acquire assets without a large upfront capital outlay, thereby improving liquidity.

3. **Periodic Payments (Lease Rentals):** The lessee makes regular payments, known as lease rentals, to the lessor in exchange for the use of the asset. These rentals can be structured in various ways, such as equated monthly instalments (EMIs), stepped-up (back-end) payments (smaller at first, larger later), or stepped-down (upfront) payments (larger at first, smaller later). Lease rentals also vary in composition depending on the lease type; for a financial lease, they primarily include principal repayment plus interest, while for an operating lease, they include service charges, depreciation, and incidental costs.

4. **Duration and Cancellability:** Leases have a specified lease period. Some leases, like financial leases, are long-term and generally non-cancellable, covering most of the asset's economic life, and early termination can incur significant costs. Others, like operating leases, are short-term and cancellable.

5. **Allocation of Risks and Responsibilities:** The distribution of risks and responsibilities (such as maintenance, insurance, taxes, and obsolescence) varies significantly by lease type.

    - In a **financial lease**, the lessee typically **bears most of these ownership-related risks and costs**. The lessee is also responsible for sudden damage or devastation of the leased asset and for damage caused by its use.

    - In an **operating lease**, the **lessor retains most ownership risks** and is responsible for maintenance and other expenses.

    - In a **Triple Net (3N) Lease**, the lessee pays base rent plus all property-related costs, including taxes, insurance, and maintenance.

    - In an **Open-ended Lease**, the lessee is responsible for the residual value of the asset at the end of the lease.

6. **Purchase or Renewal Options:** Some leases, particularly financial leases, often include an option for the lessee to buy the asset at a nominal or mutually agreed price, or to

renew the lease at a substantially lower rent. Operating leases generally do not offer a purchase option.

7. **Tax and Financial Benefits:** Leasing can offer tax or financing advantages, especially in cross-border leases. In leverage leasing, the lessor is entitled to depreciation allowances associated with the asset.

8. **Present Value of Payments:** For a financial lease, a key characteristic is that the present value of minimum lease payments amounts to substantially all of the fair value of the leased asset at the lease's inception, indicating a significant financial obligation equivalent to purchase.

Types of Leases

The sources describe several distinct types of leases, each with unique characteristics regarding risk, ownership, and payment structure:

A **Financial Lease** is a long-term, non-cancellable lease where the lessee assumes most of the risks and rewards of ownership, though legal ownership stays with the lessor. It is also known as a Capital Lease. In this type, ownership remains with the lessor, but the lessee has full use of the asset, pays fixed rentals that cover cost and interest, and bears maintenance, taxes, insurance, and obsolescence risks. Lease rentals are structured as principal plus interest, and the contract usually runs for most of the asset's useful life. At the end of the lease, the lessee can buy the asset, renew the lease, or return it. For example, a company may lease machinery worth ₹50 lakh for 7 years, covering almost its entire cost through rentals.

Finance Lease Evaluation Considerations

A finance lease is long-term and non-cancellable, covering most of the asset's economic life. Early termination involves costs. The lessee bears ownership-like risks such as obsolescence, maintenance, taxes, and insurance. Residual value risk also falls on the lessee.

Evaluation requires cost comparison with alternatives like bank credit or own funds, while considering tax implications and cash flow impact. If the asset is specialized, flexibility is reduced. The present value of lease payments typically equals the fair value of the asset, making it a significant financial obligation. The lessee is also responsible for rentals, insurance, and damages.

Example: A manufacturing company compares buying machinery with a bank loan versus a finance lease. It finds the lease payments equal to the asset value, plus it has to bear maintenance and insurance, making it similar to ownership in cost and risk.

In short, evaluating a financial lease requires analyzing long-term commitments, risks similar to ownership, and comparing costs with other financing methods.

An **Operating Lease** is short-term and cancellable, with ownership risks such as obsolescence, maintenance, and insurance remaining with the lessor. The lease period is shorter than the asset's life, and the cost is often recovered from multiple lessees. The lessee only pays for the period of

use, without an option to purchase. For instance, an IT company may take laptops on a 2-year lease from Dell and return them after use, a common practice in vehicles, IT equipment, and aircraft.

A **Sale and Leaseback** arrangement allows the owner to sell an asset to a lessor and immediately lease it back. This improves liquidity while retaining use of the asset. The seller gains cash, and the lessor earns regular income and tax benefits. It is widely used in real estate and heavy machinery. For example, an airline might sell its office building for ₹100 crore and lease it back for 15 years. Similarly, ONGC entered a $60 million international sale and leaseback agreement for equipment.

A **Leverage Lease** involves three parties: the lessor, lessee, and lender. The lessor finances the asset partly through debt, with the purchased asset held as security. Lease rentals from the lessee are used by the lessor to repay the lender, and any surplus remains with the lessor. This structure is common in high-value assets. For example, a power company needing a ₹200 crore turbine may lease it through a lessor who contributes ₹50 crore, borrows ₹150 crore, and recovers cost via rentals.

A **Close-ended Lease** requires the lessee to return the asset at the end of the lease without further obligation. The residual value risk remains with the lessor, making it common in vehicle leases. For example, a company may lease a car for 3 years and simply return it at the end.

An **Open-ended Lease** makes the lessee responsible for the asset's residual value at the end of the term. If resale value falls short, the lessee pays the difference. This is common in vehicle leases. For instance, a logistics firm leasing trucks must cover any shortfall in value when returning them.

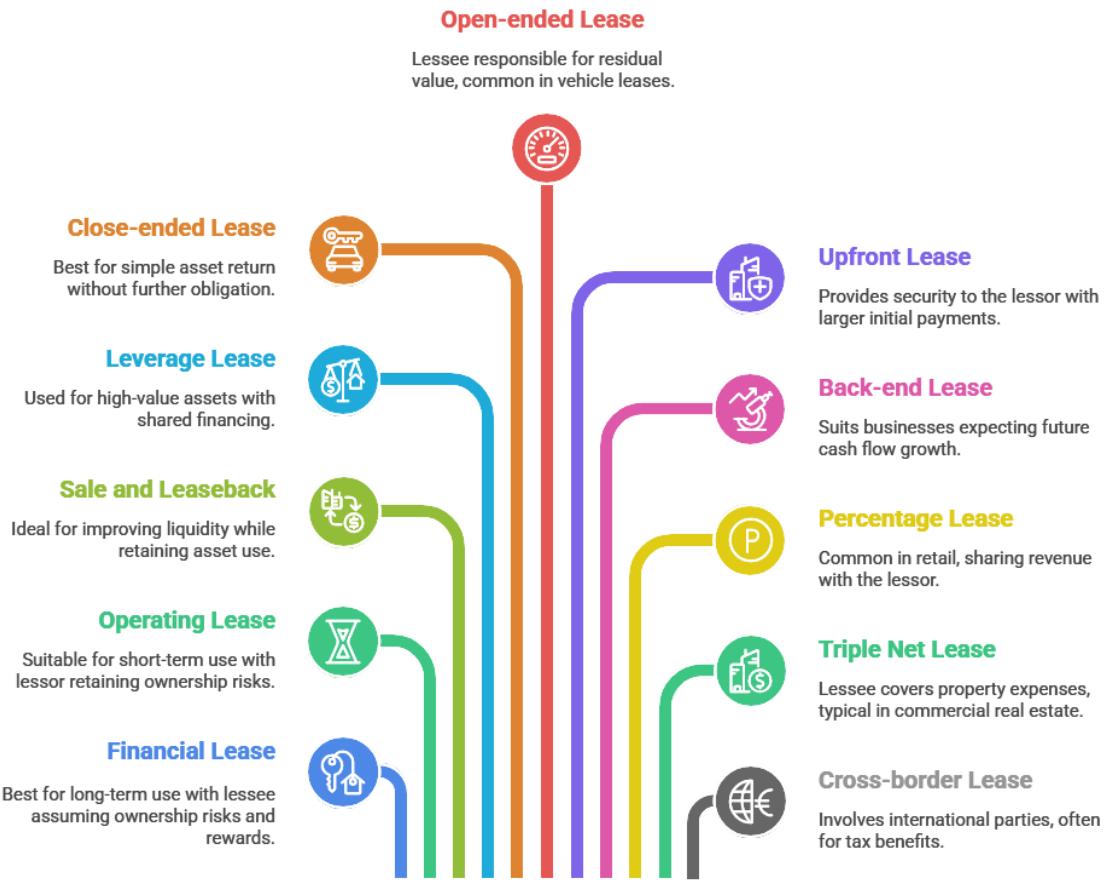
An **Upfront Lease** involves larger payments at the beginning of the lease period, also known as stepped-down rentals. It provides security to the lessor and is used when higher assurance is needed. For example, a film production house may lease cameras and pay 70% upfront.

A **Back-end Lease** is the opposite, where smaller payments are made initially and higher ones later, also known as stepped-up rentals. It suits businesses expecting future cash flow growth. For example, a startup may lease servers with low initial rent and higher payments later once revenue rises.

A **Percentage Lease** combines a fixed base rent with a percentage of the lessee's sales or revenue. It is common in retail and malls, where the lessor shares in the tenant's growth. For example, a clothing store in a mall may pay ₹1 lakh base rent plus 5% of monthly sales.

A **Triple Net (3N) Lease** shifts property-related expenses such as taxes, insurance, and maintenance to the lessee in addition to rent. It is typical in commercial real estate. For example, a company leasing an office may also cover building insurance, taxes, and upkeep.

A **Cross-border Lease** is an agreement between parties located in different countries. It is often structured for tax or financing benefits but carries regulatory and exchange rate risks. For example, an Indian airline may lease aircraft from an Irish leasing company, a common practice in aviation.



Advantages of Leasing

- **Capital and liquidity management**
  Sale and leaseback improves liquidity by allowing an owner to sell an asset for cash while retaining its use. Leasing can act as an alternative to own funds, bank credit, and debt securities for financing equipment.
  Example: A hospital sells its building to a leasing firm and leases it back. The hospital gets cash for expansion while still using the same building.

- **Risk mitigation for lessee in operating lease**
  In an operating lease, ownership risks such as obsolescence, repairs, and resale value remain with the lessor. The lessee pays only for the use of the asset. Operating leases are short-term and cancellable. The lessor is responsible for maintenance, insurance, and related costs.
  Example: A software company leases office printers. When the printers break down, the leasing company repairs or replaces them, not the lessee.

- **Flexibility and usage rights for lessee**
  The lessee has the right to use the asset during the lease term. Back-end leases are suitable for businesses expecting higher future cash flows, since they involve smaller initial payments. In a financial lease, the lessee enjoys full use of the asset. The lessee can terminate the contract if the asset is not delivered properly and may also seek compensation for damages.
  Example: A startup chooses a back-end lease for machinery, paying low instalments in the first two years and higher ones later when revenue grows.

- **Potential for ownership and renewals**
  A financial lease often ends with an option for the lessee to buy the asset at a nominal or mutually agreed price. Lessees may also renew the lease at a lower rent during the secondary period.
  Example: A transport firm leases trucks for 7 years and then buys them at a token price at the end of the contract.

- **Tax and financial benefits**
  Cross-border leases are often used for tax or financing advantages. In leverage leasing, the lessor enjoys depreciation allowance. In sale and leaseback, the lessor benefits from tax credits and a steady flow of income.
  Example: An airline enters a cross-border lease for aircraft to gain tax savings in another country. The lessor also benefits from depreciation deductions.

Limitations and Responsibilities of Leasing

- **Commitment and risk for lessee in financial lease**
  Financial leases are long-term and usually non-cancellable. Early termination involves costs. The lessee bears risks such as obsolescence, maintenance, taxes, and insurance. If cancellation is allowed, the lessee must bear the lessor's losses. Any gains or losses from asset value fluctuations fall on the lessee. The lessee is also responsible for damage or destruction of the asset from the time it is taken over.
  Example: A factory leases heavy machinery for 10 years. After 5 years, new technology emerges but the company must still pay rent for the old machinery until the contract ends.

- **Payment structure and other costs**
  In upfront leases, larger payments are made at the start. In a triple net lease, the lessee pays rent plus property-related costs like taxes, insurance, and maintenance. In an open-ended lease, the lessee is responsible for the residual value of the asset at the end.
  Example: A retail store in a shopping mall signs a triple net lease, paying rent plus property taxes, insurance, and upkeep, which makes the overall cost much higher.

- **Lack of ownership in operating lease**
  An operating lease generally does not provide an option to purchase the asset. *Example:* A company leases laptops for 3 years under an operating lease but must return them at the end without any option to buy, even after regular payments.

- **Complexity**
  Cross-border leases involve complex documentation and carry exchange rate and regulatory risks.
  Example: An Indian shipping company leases a vessel from the US. It must handle dollar-rupee exchange rate fluctuations and legal requirements in both countries.

Other Terminologies:

- **Lease Rental Determination**
  Lease rental is the amount paid by the lessee to use the asset.

- **Components of lease rentals**
  In a financial lease, rentals are principal repayment plus interest. In an operating lease, rentals include interest, service charges, depreciation, repairs, and insurance. In a triple net lease, the lessee pays base rent plus all property-related costs. A percentage lease involves a fixed base rent plus a percentage of sales or revenue.
  Example: A retail shop in a mall pays base rent plus 5 percent of monthly sales under a percentage lease agreement.

- **Payment structures**
  Rentals are payable after delivery of the asset and may be structured as equated monthly instalments or tailor-made structured rentals. Stepped-up rentals or back-end leases involve smaller initial payments and larger later payments. Stepped-down rentals or upfront leases involve larger payments initially and smaller later ones.
  Example: A startup with low initial revenue opts for a back-end lease, paying lower rent in the first two years and higher rent after revenues stabilize.

- **Additional payments**
  The lessee may need to pay advance rental or a security deposit. Leasing companies may also charge an upfront non-refundable fee for processing and marketing.
  Example: A small business leasing office furniture pays a security deposit equal to three months' rent at the start of the lease.

Hire Purchase – Interest and Installment

Hire purchase is a type of installment credit agreement where the hire-purchaser (hirer) agrees to take goods on hire at a stated rental with an option to purchase the goods. It is a financial arrangement where the owner (hiree) provides an asset to the hirer for a consideration of payment, known as hire charges, in instalments for a specified period.

Key aspects related to interest and installments in hire purchase include:

- **Down Payment:** It is common practice for the hirer to make a down payment of a certain percentage of the equipment's cost.
- **Installment Payments:** The balance amount, along with interest, is paid in installments. These installments can be paid either in advance or in arrears.
- **Bifurcation of Payments:** Hire purchase payments are bifurcated into interest payments and principal repayments.
- **Tax Relief on Interest:** The hirer is entitled to tax relief on the interest paid. According to the Income Tax Act, the hirer also gets a tax shield on depreciation calculated with reference to the cash purchase price of the asset and on the consideration for hire. From the hiree's perspective, the consideration for hire received is liable to tax, and hire purchase transactions are subject to sales tax.
- **Ownership Transfer:** Ownership of the asset is transferred to the hirer upon payment of the last installment. However, the hirer gains possession of the asset as soon as the agreement is signed.
- **Right to Terminate:** The hirer has the right to terminate the agreement at any time before ownership transfer. If terminated, the hirer can either return the asset or avoid future installments (with amounts already paid deemed hire charges) or pay future installments (fully or at a discount) and take ownership.

Difference between Hire Purchase and Leasing

Both leasing and hire purchase are fundamentally asset-based financing methods and share similarities. However, there are several distinctions:

1. **Ownership Transfer:**
    - **Hire Purchase:** Legal ownership of the asset is transferred to the hirer only upon payment of the last installment. The hirer gets possession at the start but not immediate ownership.
    - **Leasing:** In a financial lease, legal ownership remains with the lessor, though the lessee bears most of the risks and rewards of ownership. Title may or may not eventually be transferred. In an operating lease, ownership risks remain with the lessor, and there is generally no option to purchase the asset.

2. **Nature of Assets Traditionally Financed:**

    - Historically, leasing was mostly used for plants and machinery, while hire purchase was commonly used for vehicles, particularly commercial vehicles in India, becoming synonymous with truck financing.

    - This distinction arose because motor vehicle laws offered strong legal protection to financiers in hire purchase, insulating them from operational risks, and vehicle transfer required financier's assent. In contrast, earlier motivations for leasing involved investment allowances for industrial plant and machinery, which were not available for transport vehicles.

3. **Current Regulatory and Accounting Treatment:**

    - The historical factors driving the asset-type distinction have diminished, as investment allowances have been abolished, and there are no longer specific tax preferences for leases.

    - The Reserve Bank of India (RBI) now treats lease and hire purchase on a par and has stopped distinctive classifications for companies involved in these activities.

    - Accounting norms also have the same effect on pre-tax income and balance sheet values for both lease and hire-purchase transactions.

    - Motor vehicle laws now treat leases and hire purchases similarly from the perspective of financier protection.

    - However, leasing and hire purchase remain subject to different treatment under various tax laws, such as income tax and sales tax.

4. **Accounting Definition (IAS 19):** IAS 19 specifies that the definition of a lease includes agreements for the hire of an asset that contain a provision giving the hirer the option to acquire the title of the asset upon fulfilling agreed conditions, and these are known as hire purchase agreements.

Comparison with Installment Sale: It is important to note that hire purchase differs from an installment sale. In an installment sale, legal ownership of the asset is transferred to the buyer immediately after the agreement is made and the first installment is paid, with the balance treated as a secured loan. Hire purchase and installment sale are similar, except for the timing of ownership transfer.

Leasing vs Hire Purchase

The primary factor determining the choice between leasing and hire purchase today depends on tax consequences.

- **Tax Benefits for Hirer (HP):** In hire purchase, the hirer is entitled to tax relief on the interest paid and a tax shield on depreciation calculated with reference to the cash purchase price of the asset.
- **Tax Implications for Hiree (HP):** The consideration for hire received by the hiree (owner) is liable to tax, and hire purchase transactions are subject to sales tax.
- **Evolving Tax Landscape:** While historically there were tax preferences for leasing (e.g., investment allowance for industrial plant and machinery), these have largely vanished, and there are no specific tax preferences on a lease currently mentioned in the sources.
- **Overall Tax Treatment:** Despite similarities in RBI and accounting treatment, the differing treatment under income tax and sales tax laws remains a key consideration for choosing between leasing and hire purchase.

Determining Hire Purchase (HP)

The mathematics of Hire Purchase (HP) primarily focuses on computing the Cash Price (C), the Hire Purchase Price (HPP), and the Interest (I) involved in the transaction.

1. **Components of Payments:** In an HP agreement, the installments consist of two parts: principal repayment (a portion of the original cash price) and interest (a finance charge for deferring payment).
2. **Calculation of Interest:**
    - Interest can be calculated using either the flat rate method (calculated on the full amount throughout the term) or the reducing balance method (calculated on the outstanding balance).
    - The total Interest (I) is the difference between the Hire Purchase Price (HPP) and the Cash Price (C).
3. **Determining Installments:** Installments in HP can be calculated using the annuity formula:

    A=P×r1−(1+r)−nA = \frac{P \times r}{1 - (1+r)^{-n}}A=1−(1+r)−nP×r

    Where:

    - A = Instalment amount
    - P = Principal or financed amount

- r = Rate of interest per period
- n = Number of instalments

4. **Example:**
    - If a machine costs ₹2,00,000 and is taken on HP with a ₹50,000 down payment, the balance financed for 3 years at 12% interest, the annual installment can be computed using the annuity formula to determine the exact principal and interest components.
    - Another example involves a machine worth ₹1,00,000 on HP with a ₹20,000 down payment. The balance is payable in 4 annual installments with 10% interest, where each installment includes a part of the outstanding principal and interest charged on that balance.

Factoring

Factoring is a financial arrangement where a business sells its accounts receivables (invoices) to a factor (typically a bank or a Non-Banking Financial Company - NBFC) at a discount. The factor then provides immediate cash to the business and takes on the responsibility of collecting the dues from the customers.

Imagine a textile exporter that has issued invoices worth ₹50 lakh to its customers. Instead of waiting for its customers to pay, the exporter sells these invoices to a factor for ₹47.5 lakh, receiving immediate cash. The factor then collects the full ₹50 lakh from the customers when the payments are due.

Types of Factoring:

1. With Recourse Factoring: In this type, the business that sold the receivables still bears the risk of default if the customer fails to pay.

Example: A small electronics manufacturer sells ₹10 lakh worth of invoices to a factor. If one of the manufacturer's customers, who owes ₹1 lakh, goes bankrupt and cannot pay, the electronics manufacturer is still obligated to repay that ₹1 lakh (or the factored amount) to the factor. The risk of the customer defaulting remains with the original business.

2. Without Recourse Factoring: Here, the factor bears the credit risk, meaning if the customer defaults, the factor, not the original business, absorbs the loss.

Example: A software development company sells ₹20 lakh in invoices to a factor on a without recourse basis. If a client owing ₹2 lakh fails to pay due to financial difficulties, the factor absorbs that ₹2 lakh loss. The software development company receives its funds from the factor and has no further financial obligation related to that defaulting customer.

3. Domestic Factoring: This applies to transactions where both the business selling the receivables and its customers are within the same country.

Example: A furniture wholesaler in Mumbai sells its invoices from various retail stores across India to a factor based in Delhi. All parties involved (wholesaler, factor, and retail stores) are operating within India.

4. International Factoring: This type applies to cross-border transactions, meaning the lessor and lessee are in different countries

Example: An Indian machinery exporter supplies equipment to a European buyer, generating an invoice for $500,000. To get immediate cash and manage collection risks, the Indian exporter sells this receivable to an international factor (e.g., a financial institution based in Europe or an Indian factor specializing in international transactions). The factor then handles collection from the European buyer.

Benefits of Factoring:

- Improves liquidity: Businesses get immediate cash for their invoices.
- Reduces collection cost: The factor handles the collection process, saving the business time and resources.
- Provides professional debt management: Factors often have specialized expertise in managing and collecting debts.

Example: A textile exporter with invoices totaling ₹50 lakh sells these invoices to a factor for ₹47.5 lakh. The factor provides this immediate payment to the exporter and then collects the full ₹50 lakh from the customers when their payments are due.

Forfaiting and Its Arrangement

Forfaiting is a financial arrangement similar to factoring but used mainly in international trade. It involves an exporter selling medium- to long-term receivables from export transactions to a forfaiter—usually an international bank or financial institution—at a discount and without recourse to the exporter.

Key Features

- **Export Financing:** It is specifically designed for financing export transactions.
- **100% Financing:** It typically provides 100% financing to the exporter.
- **Risk Elimination:** It helps exporters eliminate political, currency, and credit risks associated with international trade.
- **Security for Receivables:** The receivables are usually supported by bills of exchange or promissory notes, which are often guaranteed by a bank in the importer's country, providing additional security.

Example: An Indian machinery exporter supplies equipment worth $10 million to a European buyer, agreeing to 5-year deferred payment terms. To receive immediate funds and offload the collection risk, the exporter sells these receivables to an international forfaiter. The forfaiter pays

the exporter immediately after discounting the future payments and then assumes the responsibility of collecting the full amount from the European buyer's bank when due.

Features:

1. **Agreement on Credit Terms:** The exporter and importer first agree on the credit terms for the international transaction.

2. **Guaranteed Instruments:** The importer then issues bills of exchange or promissory notes, which are typically guaranteed by its bank.

3. **Sale to Forfaiter:** The exporter sells these guaranteed instruments to a forfaiter (an international bank or financial institution).

4. **Upfront Payment:** The forfaiter pays the exporter upfront, deducting a discount amount from the face value of the receivables.

5. **Collection at Maturity:** At maturity, the forfaiter collects the full payment directly from the importer's bank.